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UNITED STATES DISTRICT COURT

NORTHERN DISTRICT OF CALIFORNIA – SAN FRANCISCO DIVISION

BRENDAN NGEHSI NEWANFORBI, Plaintiff, v. SHANNON SMITH, LCSW, Chief Executive Officer and Founder of HOPE Program, an individual; and HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation, Defendants.	Case No. 3:26-cv-07504-LJC **DEFENDANTS SHANNON SMITH AND HOPE PROGRAM, A LICENSED CLINICAL SOCIAL WORKER PROFESSIONAL CORPORATION'S REPLY IN SUPPORT OF MOTION TO DISMISS** Hearing Date: October 27, 2026 Hearing Time: 10:30 a.m. Court Room: G, 15th Floor Judge: Hon. Lisa J. Cisneros

Defendants Shannon Smith and Hope Program, A Licensed Clinical Social Worker Professional Corporation ("Hope") submit the following reply in support of their Motion to Dismiss Plaintiff's complaint pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure.

Plaintiff's opposition does not rebut the central point of Defendants' motion: every claim in this case involves the same primary right—freedom from Hope's sex-offender-treatment retention policy—at issue in the state court action that Plaintiff already brought, and lost, in the San Joaquin County Superior Court. Instead, Plaintiff asks this Court to disregard the result of his prior case because the state court's July 15, 2026 order used the word "sustained" rather than "dismissed."

Plaintiff's argument improperly focuses on labels while ignoring the substance of the order and its result—dismissal of Plaintiff's state court case without leave to amend. The San Joaquin County Superior Court's own docket confirms that the case was disposed on the same date the order issued, and that the case has not been reopened.

Plaintiff's arguments addressing the sufficiency of the complaint's allegations fare no better. With respect to whether Defendants were state actors for purposes of 42 U.S.C. § 1983, the complaint alleges that a contracted treatment provider reported clinical information to a parole agency—information the agency was statutorily required to consider—and that on one occasion a parole agent, not Hope, allegedly directed a record-keeping correction related to Plaintiff's attendance. Such conduct is insufficient to establish joint-action or a close nexus between the State and Defendants' alleged conduct. Furthermore, Plaintiff's opposition, rather than identifying specific factual allegations necessary to establish the elements of his First Amendment, Due Process, Bane Act, fraud, and RICO claims, merely regurgitates the same conclusory allegations Defendants' motion already addressed. Accordingly, Defendants' motion to dismiss should be granted without leave to amend.

I. Claim Preclusion

A. Plaintiff's Technical Arguments Are Insufficient to Defeat the Preclusive Effect of the State Court's Order.

Plaintiff attempts to evade the application of claim preclusion by attacking the form, rather than the substance, of the state court's July 15, 2026 order. In that regard, Plaintiff contends that the July 15 order does not constitute a final judgment on the merits due to the order's "unusual form" and failure to include "dismissal language" or the word "judgment." ECF No. 23 at 9. Plaintiff also notes that in sustaining the defendants' demurrer, Judge George Abdallah signed a submitted proposed order, crossing out the word "PROPOSED."

As the California Supreme Court has explained:

> It is not the form of the decree but the substance and effect of the adjudication which is determinative. As a general test, which must be adapted to the particular circumstances of the individual case, it may be said that where no issue is left for future consideration except the fact of compliance or noncompliance with the terms of the first decree, that decree is final, but where anything further in the nature of judicial action on the part of the court is essential to a final determination of

the rights of the parties, the decree is interlocutory.

Lyon v. Goss, 19 Cal. 2d 659, 670 (1942).

The state court's July 15 order sustained defendants Hope and Katie Palacios's demurrer to Plaintiff's first amended complaint "without leave to amend on the grounds that the First Amended Complaint fails to allege facts sufficient to state any cause of action." ECF No. 15-1 at 47. Thus, the order adjudicated all claims, leaving no further pleading opportunity or issues unresolved. While the July 15 order did not explicitly state that it is a final judgment, or otherwise direct entry of a final judgment, the absence of such language does not render the order interlocutory; the order's substance expressly resolved all issues in the case. Accordingly, the order constitutes a final judgment on the merits for purposes of claim preclusion. *See Griset v. Fair Political Practices Comm'n*, 25 Cal. 4th 688, 698 (2001) ("Applying [*Lyon's*] test here, we conclude the 1991 superior court ruling that was the subject of appellate review in *Griset I, supra*, 8 Cal.4th 851, was a final judgment. As we explain below, the Superior Court's denial of plaintiffs' petition for a writ of mandate disposed of all issues in the action between plaintiffs and the FPPC, because it completely resolved plaintiffs' allegation—essential to all of plaintiffs' causes of action—that section 84305 was unconstitutional.").

The San Joaquin County Superior Court's own docket confirms as much. As reflected in Defendants' supplemental request for judicial notice, the Superior Court's docket for *Newanforbi v. Palacios* reflects the case's disposition as "Case Disposed" on July 15, 2026, the same date as the order sustaining the demurrer. Defs.' Supp. Request J. Not., Ex. A. That entry confirms that nothing remained pending in the state court action as of the date of the order. Under *Lyon* and *Griset*, this is sufficient to establish that there was a final judgment on the merits.

Plaintiff's reliance on *Valvo v. University of Southern California*, 67 Cal. App. 3d 887, 892 n.3 (1977), and *Berri v. Superior Court*, 43 Cal. 2d 856, 860 (1955), does not support a different conclusion. *See* ECF No. 23 at 9. Both decisions addressed whether an order sustaining a demurrer is independently appealable, or vulnerable to reconsideration, before any further proceeding occurs. Importantly, neither case involved consideration of the substance-over-form test articulated in *Lyon* and *Griset*.

In *Valvo*, the trial court sustained the respondent's demurrer without leave to amend and

subsequently issued a separate order of dismissal.[1] 67 Cal. App. 3d at 891. The petitioner then moved for reconsideration of the order sustaining the demurrer, which the trial court denied. *Id.* Plaintiff then appealed: (1) the order sustaining the demurrer, (2) the order of dismissal, and (3) the denial of the motion for reconsideration. *Id.* The California Court of Appeals dismissed the "purported appeal from the order sustaining the demurrer," observing that "[a]n order sustaining a demurrer is not appealable; an appeal lies only from the ensuing judgment of dismissal." *Id.* Ultimately, the Court of Appeals reversed the judgment of dismissal and directed the trial court "to overrule respondents' demurrer to the second amended petition." *Id.* at 898. Contrary to Plaintiff's suggestion, *Valvo* did not hold that an order sustaining a demurrer without leave to amend can never constitute a final judgment on the merits. Instead, the case stands for the proposition that once a final judgment of dismissal is entered, any appeal lies with the judgment of dismissal rather than the earlier order on the demurrer.

Berri also did not involve consideration of whether an order sustaining a demurrer without leave to amend can be considered a final judgment under the substance-over-form test. Instead, *Berri* involved consideration of California Code of Civil Procedure §583, which applies to dismissal of civil actions for trial delays. Simply put, neither case cited by Plaintiff holds that a state court order disposing of all issues and claims, as confirmed by the court's own docket, loses its preclusive effect merely because the court did not enter a separate judgment of dismissal.[2]

B. Smith is in Privity With the Defendants to the State Court Action

Plaintiff also argues that Smith cannot be bound by the state judgment because she was not named as a party in the state action and her conduct as Hope's policy-making officer was not "represented" in that case. ECF No. 23 at 11-12.

Privity does not require that every allegation against a nonparty be litigated verbatim in the

[1] *Valvo* involved a petition for writ of mandate that sought to compel respondent University of Southern California to reinstate the petitioner as a student in good standing at the university's medical school. 67 Cal. App. 3d at 890.

[2] There is also no merit to Plaintiff's contention that the July 15 order cannot serve as a final judgment due to its "unusual form" that included Judge Abdallah striking out the word "PROPOSED" and hand-signing the order. Rule 3.1312 of the California Rules of Court specifically contemplates the use of a proposed order, explicitly requiring the prevailing party to prepare and submit a proposed order for the court's review and signature.

prior suit. Instead, for privity between the parties to exist, the nonparty's interests must be adequately aligned with, and represented by, a party to the earlier suit. *DKN Holdings LLC v. Faerber*, 61 Cal. 4th 813, 826 (2015). As explained in Defendants' motion, Katie Palacios, the individual defendant named in the state action, and Defendant Smith are both Hope employees, which is sufficient to establish privity between the parties. *See Scott v. Kuhlmann*, 746 F.2d 1377, 1378 (9th Cir. 1984) (per curiam) (finding privity for purposes of res judicata in a case where "[d]ifferent individuals [we]re named defendants in the two suits, but all [were] employees of the FCC who participated in the" challenged conduct that led to the alleged injury); *Drawsand v. F.F. Properties, L.L.P.*, 866 F. Supp. 2d 1110, 1127 (N.D. Cal. 2011) ("An employer-employee relationship generally satisfies the privity requirement for matters within the scope of employment.").[3]

There is also no merit to Plaintiff's suggestion that privity is absent due to his own suing Hope under a different name in the state court case than the name used to initiate the instant action. Critically, Plaintiff does not dispute that both cases involve the same corporate defendant. Plaintiff's unilateral decision to use alternative names for Hope in the two lawsuits that he filed cannot serve as a basis to avoid claim preclusion.

II. The Complaint Fails to Plausibly Allege that Defendants Acted Under Color of State Law.

In his opposition, Plaintiff appears to argue that Hope is a state actor merely because state law required his enrollment in the program, which is governed by an extensive regulatory scheme. ECF No. 23 at 13-14. In that regard, Plaintiff points to four categories of allegations to support his contention that Defendants are state actors: (1) the statutory instruction that a certified provider determine treatment length "in consultation with" a parole officer, Cal. Penal Code § 3008(d)(2); (2) the regulatory requirement of a jointly signed Form 3043, 15 Cal. Code Regs. § 3574(f)(1); (3) Hope's submission of treatment-status content that was cited in CDCR's discharge-review report; and a single instance in which a parole agent allegedly told Hope to record Plaintiff's attendance as a "no show." *Id.*

[3] As Plaintiff notes in his opposition, the pertinent discussion in *Drawsand* appears at page 1127, not 1227. Defendants apologize for citing the wrong page number in their motion.

None of these, alone or together, establishes the "substantial degree of cooperation" this Circuit requires before private conduct becomes state action. *Franklin v. Fox*, 312 F.3d 423, 445 (9th Cir. 2002). The regulatory requirement for Hope to consult with CDCR and for both entities to sign Form 3043 describe the conditions under which Hope is permitted to operate as a contractor. At most, they require CDCR to exercise some degree of oversight over the parolees it supervises. Importantly, these regulatory requirements do not demonstrate that the State authored, directed, or even influenced the content of Hope's clinical assessments, which is the specific conduct Plaintiff challenges. *Caviness v. Horizon Cmty. Learning Ctr., Inc.*, 590 F.3d 806, 812 (9th Cir. 2010) (the inquiry asks whether "the specific conduct of which the plaintiff complains" is fairly attributable to the State). A contract to perform a state-mandated function, without an allegation that the State authored, dictated, or ratified Hope's clinical judgments, is not enough. *Rendell-Baker v. Kohn*, 457 U.S. 830, 841 (1982).

Moreover, a private entity's participation in a state regulatory or contractual scheme, without more, does not convert its conduct into state action. *Id.*; *Blum v. Yaretsky*, 457 U.S. 991, 1005 (1982). "Even extensive government regulation of a private business is insufficient to make that business a state actor if the challenged conduct was not compelled or even influenced by any state regulation." *Caviness,* 590 F.3d at 816 (quotations omitted). Plaintiff's allegations reflect that Defendants privately operated a sex offender management program that was regulated by the state. The complaint's allegations do not, as Plaintiff contends, "describe coordinated decision-making." *See* ECF No. 23 at 14.

III. Plaintiff's Allegations Are Insufficient to State First Amendment and Due Process Claims.

Plaintiff's First Amendment argument does not identify any allegation reflecting that Palacios's statements were made to chill Plaintiff's speech. *Nieves v. Bartlett*, 587 U.S. 391, 398 (2019) (holding that a causal link between retaliatory animus and injury is required to state a First Amended retaliation claim); *Ariz. Students' Ass'n v. Ariz. Bd. of Regents*, 824 F.3d 858, 867 (9th Cir. 2016). As explained in Defendants' motion, Plaintiff's allegations reflect that Palacios's criticism of Plaintiff was nothing more than responsive speech, which cannot form the basis of a First Amended

retaliation claim. *See Nunez v. City of Los Angeles*, 147 F.3d 867, 875 (9th Cir. 1998).

Plaintiff's opposition also fails to demonstrate that the complaint states a due process claim. Plaintiff does not dispute that a grievance procedure was available for perceived factual errors in the discharge-review report. *See* 15 Cal. Code Regs. §§ 3482(a)(2), 3484(a). Instead, Plaintiff argues that the provided safeguards were insufficient because the deprivation here was "systemic" rather than the product of a "random and unauthorized act." ECF No. 23 at 18. In support of this argument, Plaintiff relies on *Zinermon v. Burch*, 494 U.S. 113 (1990), which held that the existence of postdeprivation remedies does not necessarily foreclose a due process claim challenging the adequacy of predeprivation procedures. Specifically, *Zinermon* held that "[i]n situations where the State feasibly can provide a predeprivation hearing before taking property, it generally must do so regardless of the adequacy of a postdeprivation tort remedy to compensate for the taking." *Id.* at 132.

Plaintiff's contention that he is entitled to predeprivation safeguards lacks merit. Plaintiff admits that he does not challenge his original conviction or the initial requirement that he complete sex offender therapy as a condition of his parole. ECF No. 23 at 17. Instead, he challenges the requirement that he continue to participate in Hope's sex offender management program until termination of his parole. *Id.* at 17-18. Plaintiff, however, does not have a protected liberty in the discontinuation of his sex offender therapy. "There is no right under the Federal Constitution to be conditionally released before the expiration of a valid sentence, and the States are under no duty to offer parole to their prisoners." *Swarthout v. Cooke*, 562 U.S. 216, 220 (2011). Moreover, convicted sex offenders who are subject to mandatory sex offender treatment, such as Plaintiff, have already received all procedural protections required under the Fourteenth Amendment. *Neal v. Shimoda*, 131 F.3d 818, 831 (9th Cir. 1997) ("An inmate who has been convicted of a sex crime in a prior adversarial setting, whether as the result of a bench trial, jury trial, or plea agreement, has received the minimum protections required by due process."); *see also Fletcher v. Idaho Dep't of Corr.*, 2020 WL 7082690, at *6 n.5 (D. Idaho Dec. 3, 2020) ("Although such an individual has a liberty interest in avoiding mandatory sex offender treatment and registration, that individual—having been convicted in a court

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of law of a registrable sex offense—has already received all the process to which he is due.").[4]

Furthermore, Plaintiff's contention that he is entitled to predeprivation remedies is nonsensical. Requiring Plaintiff to remain in sex offender therapy simply preserves the status-quo. And until a formal decision is made regarding whether he must remain in sex offender therapy, there simply is nothing for Plaintiff to challenge. Consequently, it is not feasible to provide the unspecified predeprivation safeguards that Plaintiff maintains he was entitled to receive.

IV. The Bane Act Claim Still Fails.

Plaintiff's opposition confirms that the complaint does not sufficiently allege interference with Plaintiff's rights "by threat, intimidation, or coercion" within the meaning of California Civil Code § 52.1. *See Herrera v. AllianceOne Receivable Mgmt., Inc.*, 170 F. Supp. 3d 1282, 1288 (S.D. Cal. 2016) (observing that coercion under the Bane Act requires force, physical or moral, constraining the plaintiff to act against his will). Plaintiff argues that the complaint describes Hope's "gatekeeping role" and knowledge that an adverse characterization in its reports would result in parole consequences is sufficient to establish coercion. ECF No. 23 at 19. These allegations describe the ordinary operation of Hope's treatment program, which involved transmitting reports to CDCR. The mere fact that unfavorable reports could have adverse parole consequences does not, without more, demonstrate that Hope interfered with Plaintiff's rights by using threats, intimidation, or coercion.

V. Plaintiff's Opposition Confirms That The Fraud and Negligent Misrepresentation Claims Is Inadequately Pled.

Plaintiff's opposition lists several alleged misrepresentations that, according to Plaintiff, are sufficient to comply with Rule 9(b)'s heightened pleading standard. ECF No. 23 at 20. None of the listed allegations identify the specific speaker or explain how attributing each statement to "Defendants" or "a HOPE clinician" satisfies Rule 9(b)'s particularity requirement. Consequently, Plaintiff has failed to refute Defendants' argument that the complaint's allegations do not comply

[4] The mere fact that Plaintiff is not required to exhaust available administrative remedies prior to bringing a section 1983 claim does not warrant a different conclusion. *Patsy v. Bd. of Regents*, 457 U.S. 496, 516 (1982) excuses Plaintiff from exhausting administrative remedies prior to filing a section 1983 action. It does not, however, entitle Plaintiff to additional procedural safeguards. Indeed, Plaintiff specifically acknowledges that the lack of any exhaustion requirement "does not itself prove the process inadequate." ECF No. 23 at 18-19.

with Rule 9(b). *See Sanford v. MemberWorks, Inc.*, 625 F.3d 550, 558 (9th Cir. 2010) (explaining that the circumstances that must be stated with particularity pursuant to Rule 9(b) include the "time, place, and specific content of the false representations as well as the identities of the parties to the misrepresentations"). Plaintiff's own statement that "the defect is curable" and that he "can amend to separate each speaker and representation," ECF No. 23 at 21, confirms that the complaint's allegations do not conform to Rule 9(b)'s requirements.

Plaintiff's opposition also fails to demonstrate that the complaint sufficiently alleges justifiable reliance on any of the alleged misrepresentations. Plaintiff argues that the complaint "pleads direct reliance: Plaintiff remained enrolled, structured his commercial-driving work around Hope's schedule, refrained from seeking another provider, and delayed seeking judicial relief because he believed completion remained achievable." ECF No. 23 at 20. Plaintiff's argument asks the court to ignore the reality of circumstances. Plaintiff's continued participation in sex offender therapy was required as a condition of his parole. His contention that an alleged misrepresentation—as opposed to his desire not to return to prison—motivated him to continue sex offender therapy is simply not plausible and need not be accepted by this court.

VI. Plaintiff Concedes That His RICO Claim is Inadequately Pled

Plaintiff's opposition also concedes, at least tacitly, that the complaint's RICO claim suffers from the same deficiency as his misrepresentation claim. In his opposition, Plaintiff states that he no longer relies on the obstruction predicate, acknowledging that 18 U.S.C. § 1519 "is not among the predicate offenses listed in" 18 U.S.C. § 1961(1). ECF No. 23 at 21. That leaves only the mail- and wire-fraud predicates. With respect to those two predicate acts, the opposition states "an amended complaint can identify each alleged mailing or wire by date, sender, recipient, document, false content, and role in the alleged scheme, and can clarify which Defendant is the RICO 'person' and which person and entities compose the enterprise." *Id.* at 21. Given that Plaintiff does not dispute this claim's deficiencies, Defendants' motion should be granted as to the complaint's RICO claim.

VII. Conclusion

For the foregoing reasons, as well as the reasons set forth in Defendants' motion, the Court should grant Defendants' motion to dismiss Plaintiff's complaint in its entirety, without leave to

amend.

Dated: October 13, 2026

Respectfully submitted,

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